



The Talent Partner Unlocking Tomorrow's Workforces

Transaction Monitoring II: Wires, ACH & P2P / Zelle

Week 2: Day 7 — Following the Movement of Funds

Trainer: Mahesh Gali, CAMS, CFCS, CALM





Transaction Monitoring II: Wires, ACH & P2P / Zelle

Week 2 · Day 7 – Following the Movement of Funds

Trainer: **Mahesh Gali, CAMS, CFCS, CALM**

Where the money came from. Where it went. Why.

Following the Movement of Funds

A Wire Transfers

B ACH

C P2P / Zelle

D Counterparties

E Transaction Flows & Patterns

Key message: From detecting an alert to understanding where the money came from, where it went, and why.

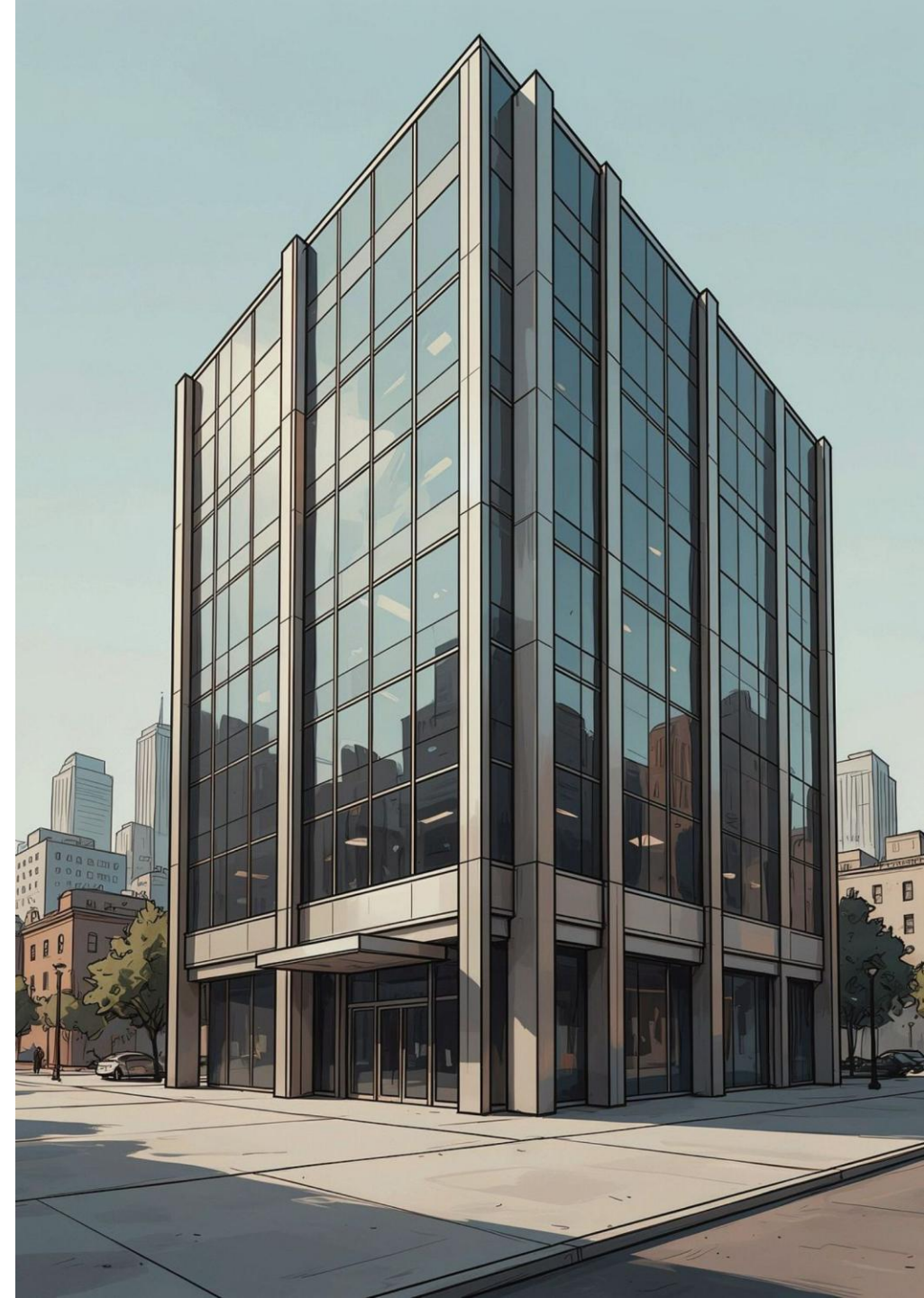
Wire Transfers

The wire ecosystem

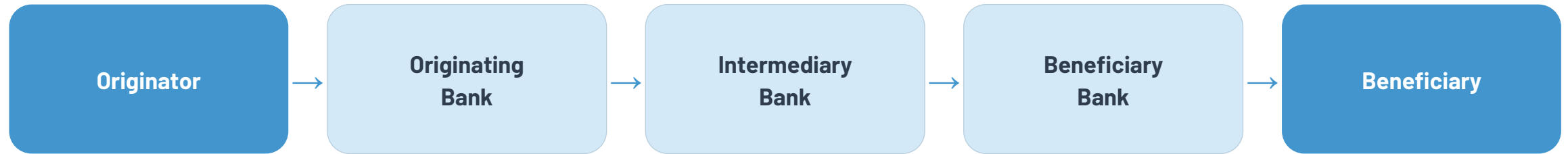
What a wire tells an investigator

Common wire patterns

Domestic vs international



Understanding Wire Transfers



Intermediary banks may or may not be involved



Analyst focus: Who sent it → who received it → through which institutions → for what apparent purpose?

Remember: A wire is a relationship between two parties, not a line in a report.

What a Wire Tells an Investigator

1 Originator name / account

2 Beneficiary name / account

3 Originating & beneficiary bank

4 Amount and currency

5 Date and time

6 Country / jurisdiction

7 Payment / reference information

8 Intermediary institutions

9 Frequency & prior wire history

Key message: Review the wire against the customer's whole relationship and pattern — not the amount alone.

Ask: Does the reference information match what the customer told us?

Common Wire Transfer Patterns

Large unexpected wires in or out

Rapid incoming → outgoing wires

Multiple unrelated counterparties

Repeated international wires

Inconsistent with occupation or business

Multiple jurisdictions, no clear purpose

Received from one party, sent to another

Repetitive round-dollar wires

Sudden change in historical activity

Investigator focus: Counterparty · timing · jurisdiction · amount · purpose · history

Reminder: Pattern = investigative lead, not automatic suspicion.

Domestic vs International Wire Analysis

Domestic wire

- Does the counterparty relationship make sense?
- Does the purpose fit the customer profile?
- Is the activity consistent with historical behaviour?

International wire – add

- Origin and destination country
- Counterparty
- Foreign financial institution
- Customer's connection to the jurisdiction
- Business or economic purpose
- Sanctions and geographic risk, where relevant

Key question: Why is this customer sending to — or receiving from — this party and this location?

Watch for: A jurisdiction with no link to the customer's profile or stated business.



ACH Transactions

What ACH is used for

Credit in, debit out

Patterns requiring further review

Testing against the profile

Understanding ACH Transactions

ACH commonly supports

- Salary / payroll
- Direct deposits
- Bill payments
- Loan payments
- Business payments
- Recurring debits & credits
- Account-to-account transfers

ACH Credit = Money In

ACH Debit = Money Out

Then test the activity against the expected profile

Analyst focus: Counterparty · frequency · amount · purpose · pattern

Key message: ACH is routine by design — which is exactly why deviation stands out.

ACH Patterns Requiring Further Review

1 Numerous ACH credits from unrelated entities

2 Business-like activity in a personal account

3 Rapid ACH credits followed by outgoing transfers

4 Multiple payroll-like credits from unrelated employers

5 Volume inconsistent with expected activity

6 Repeated ACH returns or reversals

7 Sudden increase in ACH activity

8 Movement between accounts with no clear purpose

Analyst focus: Counterparty + frequency + amount + purpose + pattern.

Key message: Unrelated senders into one personal account is the pattern to learn first.



P2P / Zelle Activity

Normal use

Potential concerns

Many-to-one and one-to-many

Pattern over channel

Understanding P2P / Zelle Activity

Normal use

- Splitting restaurant bills
- Rent and household expenses
- Family transfers
- Reimbursement between friends

Potential concerns

- Numerous unrelated senders
- Numerous unrelated recipients
- High-value / high-frequency activity
- Business-like activity in a personal account
- Rapid receipt and onward transfer
- Activity inconsistent with the customer profile

Key message: P2P itself is not suspicious — the pattern and the context matter.

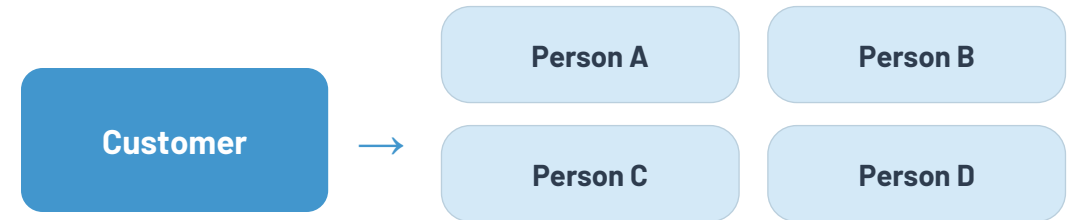
Ask: Would this many unrelated people normally be paying this customer?

Many-to-One & One-to-Many P2P Patterns

Many-to-One ($N \rightarrow 1$)



One-to-Many ($1 \rightarrow N$)



Ask

- Why are multiple people sending funds? Are they related?
- Is the customer collecting money for a legitimate reason?

Ask

- Who are the recipients? Why are payments being distributed?
- Does this activity fit the customer's profile?

Key message: Count the counterparties before you judge the amounts.

Then ask: What happens to the funds once they arrive?

SECTION D

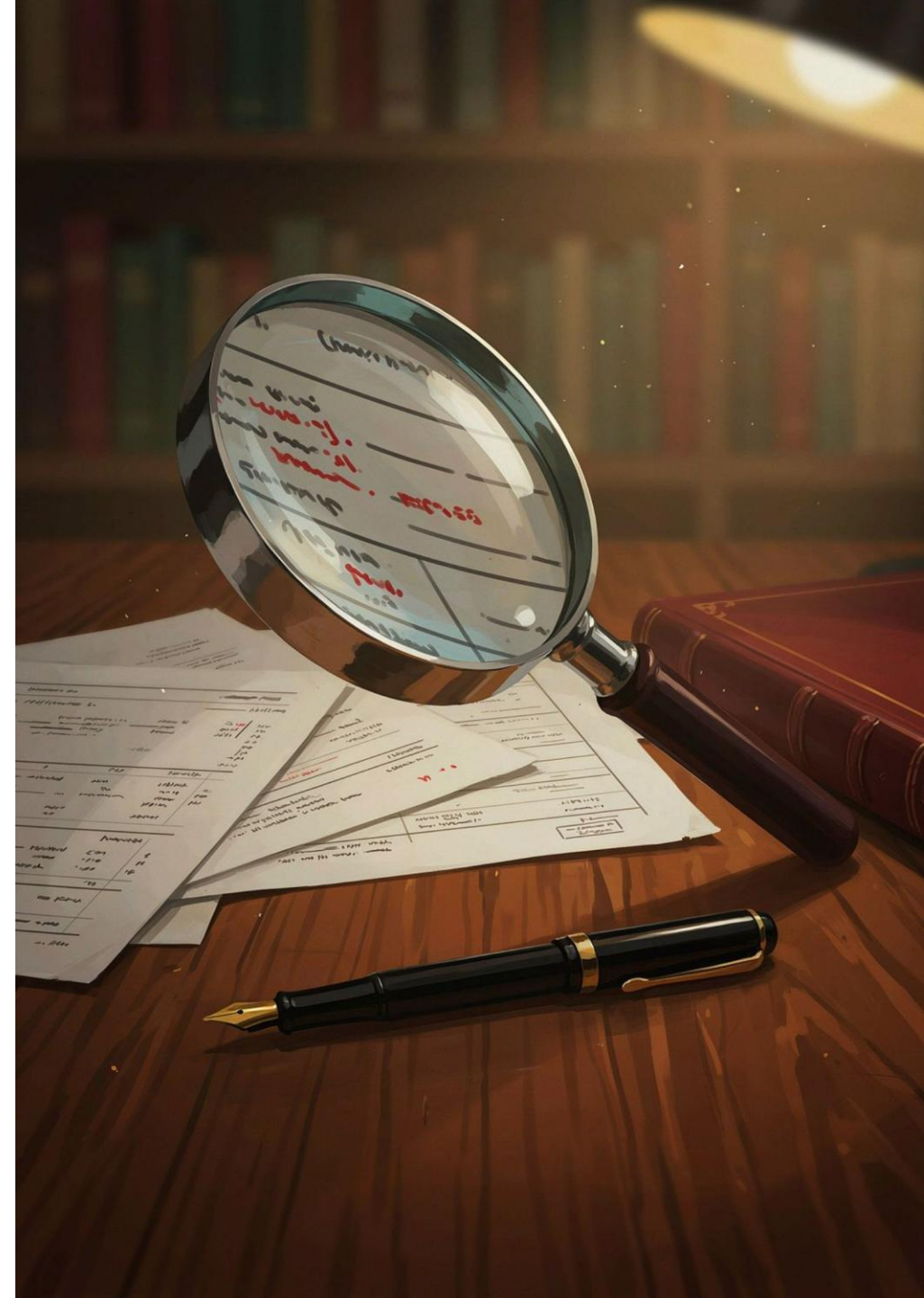
Following the Flow of Funds

Rapid movement / pass-through

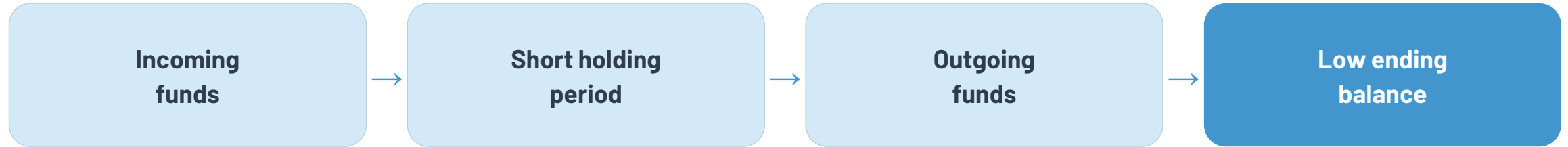
Counterparty analysis

Transaction flow analysis

Multi-channel patterns



Rapid Movement / Pass-Through Activity



Typical channel combinations



Review

- Time between receipt and transfer · percentage of incoming funds moved · counterparty relationships
- Economic purpose · repetition of the pattern

Key question: Normal account use — or primarily moving funds for or among other parties?

Watch: The ending balance often tells the story faster than the amounts do.

Counterparty Analysis

1 Who is the counterparty?

2 Individual or business?

3 Sender or beneficiary?

4 How often do they transact?

5 Total amount exchanged?

6 Relationship with the customer?

7 Does it make economic sense?

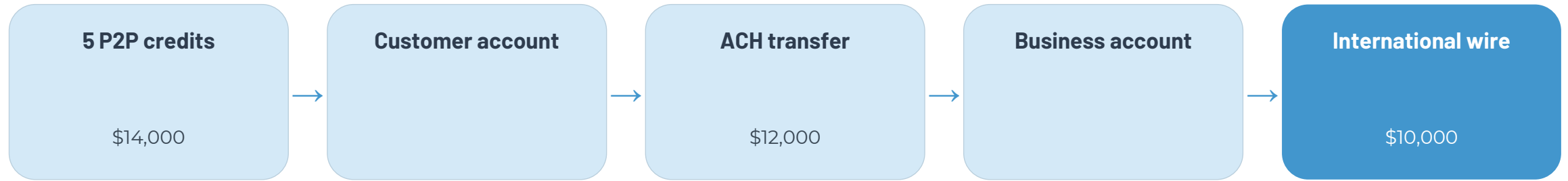
8 Appearing across multiple transactions?

9 What does KYC / internal / external data say?

Key message: Understanding the counterparty often explains the purpose of the transaction.

Go beyond: Review the counterparty, not only the customer.

Transaction Flow / Funds Flow Analysis



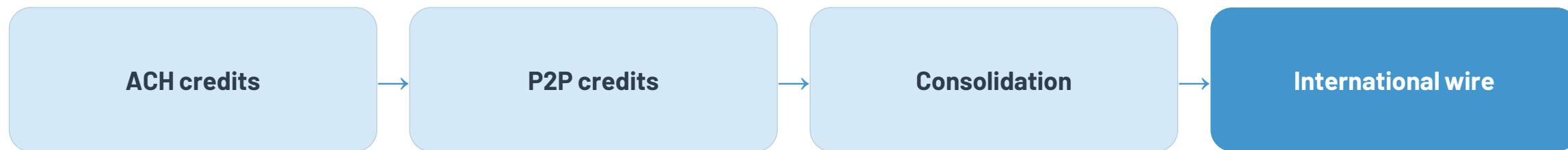
Identify



Key message: Follow the money — not just the alert.

Method: Connect the transactions. Do not review rows independently.

Combining Wire + ACH + P2P Activity



Ask

Are the transactions connected?

Who ultimately funded them?

Who ultimately received the funds?

Does the activity align with KYC?

Is there a reasonable economic purpose?

Is this isolated or recurring?

Key message: Investigate the customer's activity — not one channel at a time.

Prepares you for: Multi-channel investigations, where no single channel tells the story.

Core AML Typologies – From Activity to Pattern

Common patterns encountered during transaction monitoring and investigation.

Analytical Framework

1

Recognize

Identify the transaction pattern.

2

Compare

Check against KYC/CDD and history.

3

Corroborate

Assess purpose, parties and evidence.

Pattern ≠ automatic suspicion

1

Structuring

Transactions split or arranged to evade reporting or recordkeeping requirements.

2

Rapid Movement / Pass-Through

Funds enter and leave quickly with little retained balance or clear economic purpose.

3

Funnel Account Activity

Deposits from multiple locations or parties followed by rapid withdrawals or transfers elsewhere.

4

Many-to-One / One-to-Many

Multiple senders fund one account, or one account disperses funds to numerous recipients.

5

Round-Trip / Circular Funds

Funds move through related accounts or parties and return to the original relationship.

6

Profile Deviation

Volume, channel, geography or behavior materially differs from the customer profile.

7

Third-Party Transactions

Unrelated parties send or receive funds without a clear customer or business rationale.

8

Trade-Based Money Laundering

Trade payments or goods transactions may be used to disguise or transfer illicit value.

9

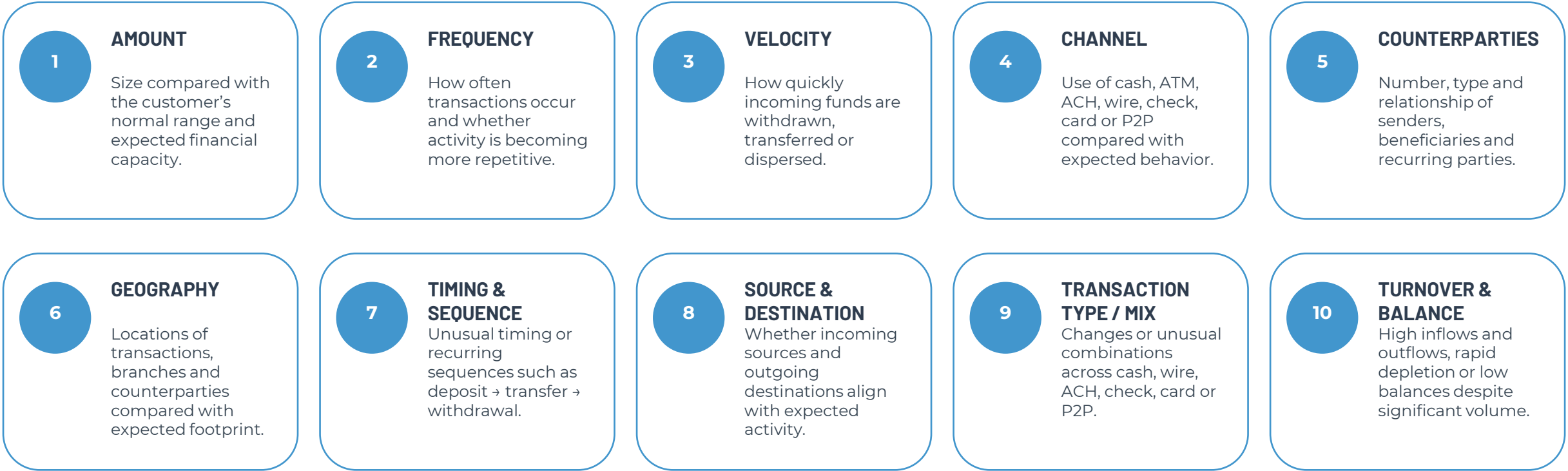
Money Mule / Account Misuse

An account receives and rapidly forwards funds for others, inconsistent with expected use.

KEY MESSAGE | Typologies identify patterns to investigate; customer context and evidence determine significance.

Recognize Common Transaction Patterns

Review multiple dimensions together rather than focusing on one transaction in isolation.



KEY FOCUS | Connect amount, frequency, velocity, parties, geography, fund flow and account behavior before forming a conclusion.

A transaction pattern is an investigative indicator — customer context and supporting evidence determine its significance.



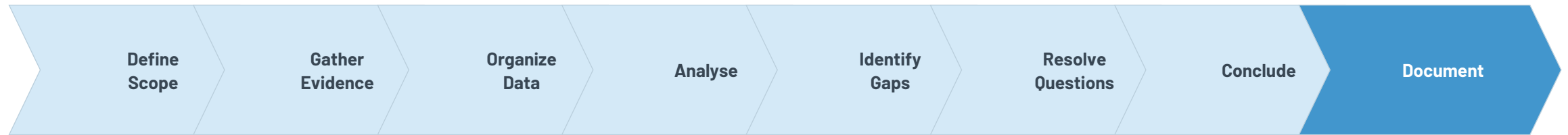
Investigation Workflow & KYC Data Analysis

Facts first. Interpretation second. Conclusion last.

From Alert to Investigation

An investigation is a structured process of gathering, organizing, analysing and documenting information to determine whether activity can be reasonably explained or requires escalation.

Day 8 focus



Every step produces evidence the next step depends on

Key message: The investigator's job is not to prove a crime — it is to establish the facts and reach an evidence-based conclusion.

Watch for: Reaching the conclusion before the evidence is gathered.



The Investigation Workflow

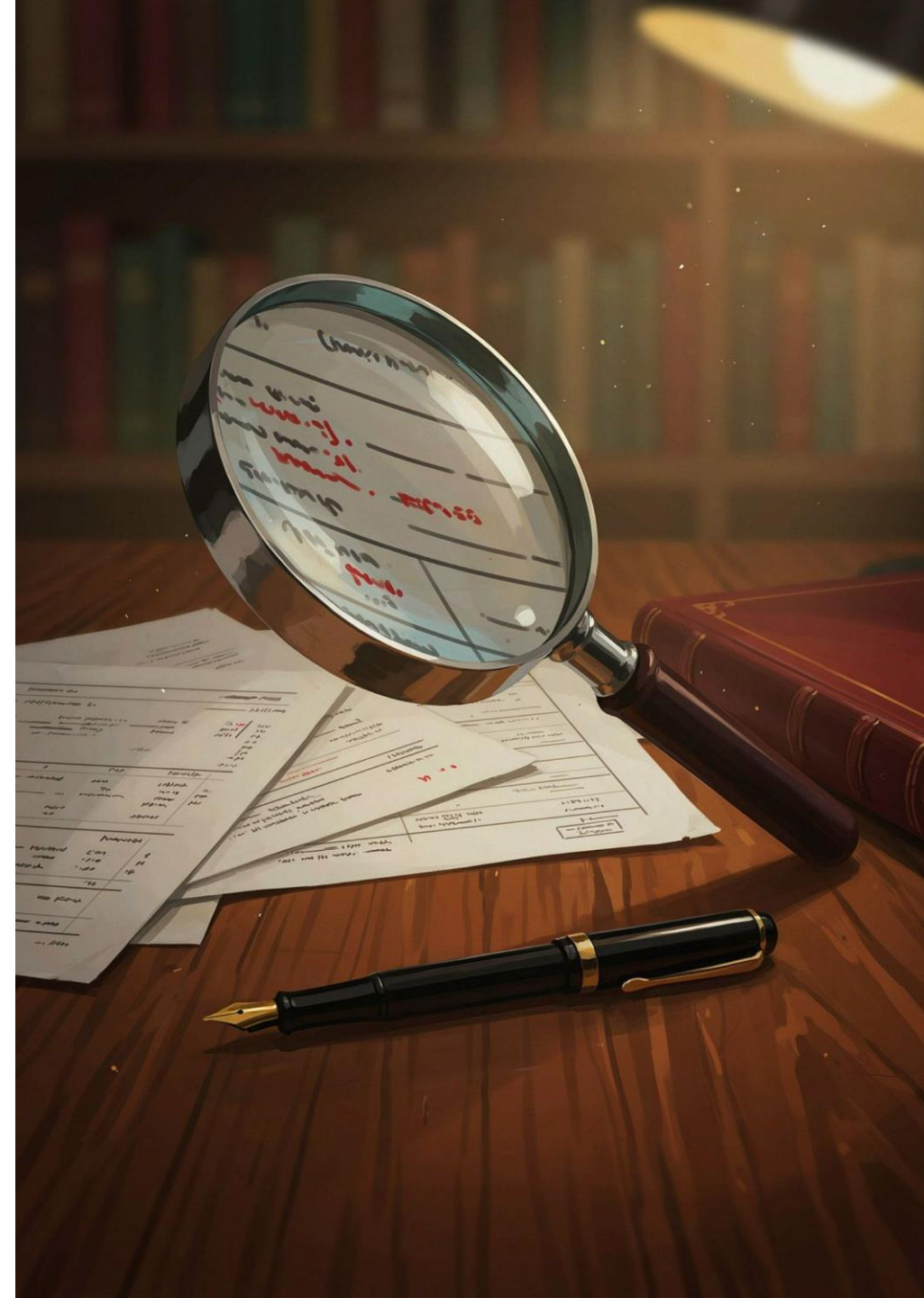
The Investigation Workflow

End-to-end workflow

Setting the scope

Building the data pack

Working from evidence



End-to-End Investigation Workflow

1

Understand Trigger

Why has the case reached investigation?

2

Define Scope

Which customer, accounts, transactions and period?

3

Gather Information

Collect relevant internal and external information

4

Organize Evidence

Summaries, timelines and relationships

5

Analyze Activity

Identify relevant patterns and inconsistencies

6

Identify & Resolve Gaps

Determine what remains unexplained

7

Reach Conclusion

Reasonably explained, or escalate?

8

Document

Record facts, evidence and rationale

Key message: The workflow is the same every time — only the facts change.

Setting the Investigation Scope

Who	Customer and relevant related parties
Accounts	Which accounts and products are relevant?
Period	What review period should be examined?
Transactions	Which activity relates to the investigation?
Counterparties	Which parties require closer analysis?
Trigger	What originally caused the investigation?
Related activity	Does the review need to expand?

Key message: A clear scope keeps the investigation focused and prevents unnecessary review.

Set it first: Decide the scope before opening the transaction list.

Building the Investigation Data Pack

Customer data

- KYC / CDD
- Occupation & business
- Income / revenue
- Expected activity
- Risk information

Account data

- Accounts
- Products
- Opening dates
- Balances
- Historical activity

Transaction data

- Dates & amounts
- Credits / debits
- Channels
- Counterparties
- Geography

Other information

- Previous alerts & cases
- Screening information
- Internal referrals
- External research

Goal: Convert scattered information into one organized investigation dataset.

Before you analyse: If it is not in the pack, it is not in the analysis.



KYC Data vs Actual Activity



KYC Data vs Actual Activity

Testing what we know

Summarize before investigating

Counterparty mapping

Building the timeline

KYC Data vs Actual Activity

KYC says

Salaried employee

\$75K annual income

Domestic activity

Occasional P2P

Personal account

≠

≠

≠

≠

≠

Transaction data shows

Multiple business-related credits

\$300K annual account turnover

Regular international transfers

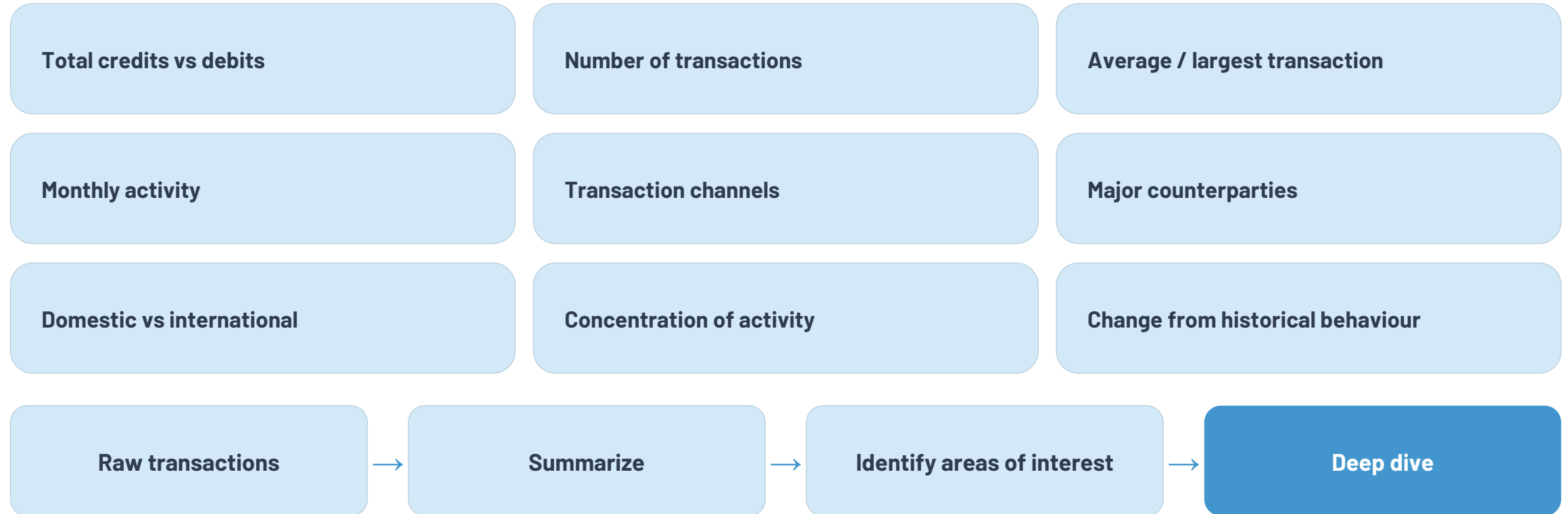
Hundreds of P2P transactions

Commercial-looking activity

Investigator question: Does actual account behaviour make sense based on what we know about the customer?

Key message: The gap between the profile and the activity is where the investigation lives.

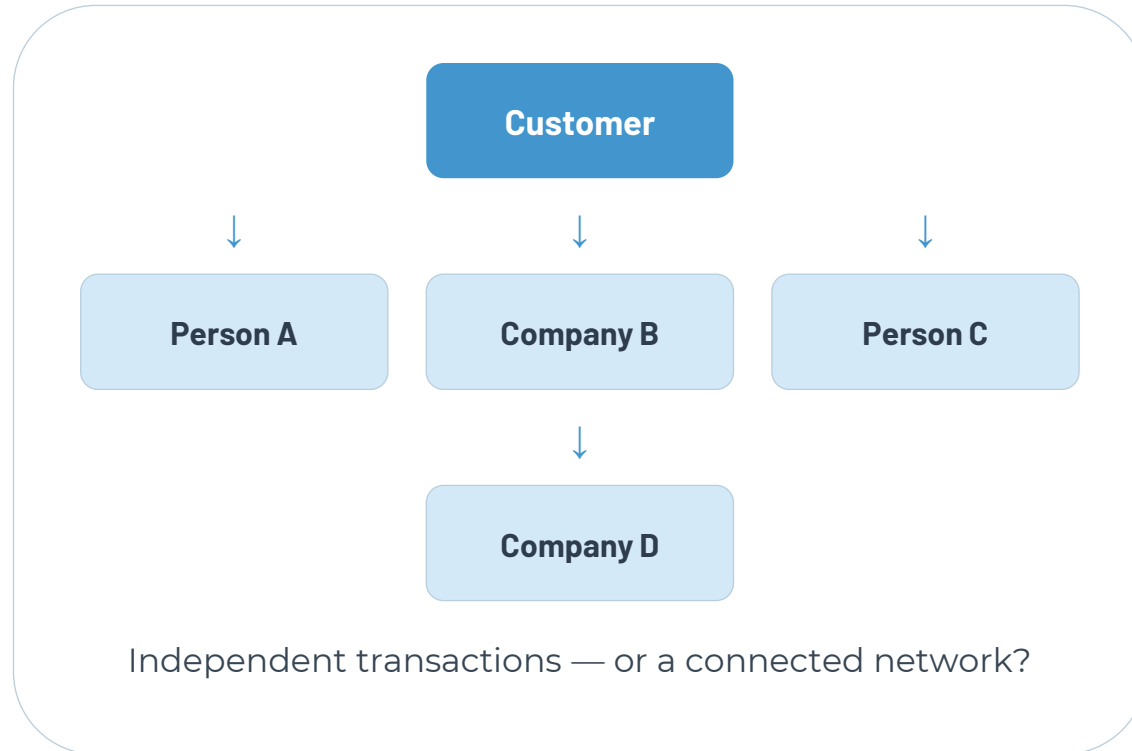
Summarize Before Investigating



Key message: Summarize the activity before reviewing transactions one by one.

Then: Let the summary tell you where to look closely.

Counterparty & Relationship Mapping



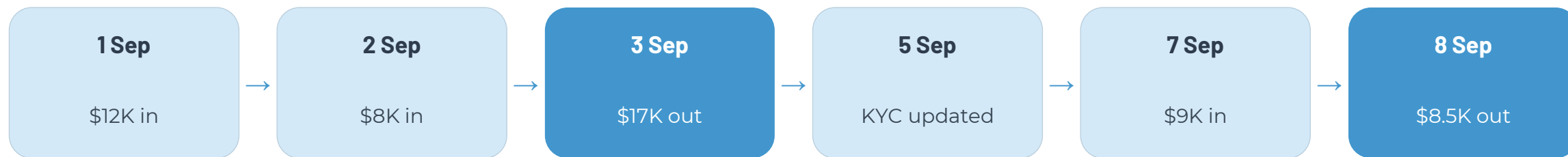
For significant counterparties, determine

- Total sent / received
- Number of transactions
- First and latest transaction
- Relationship to the customer
- Individual or business
- Connection between counterparties
- Whether the relationship is supported by information

Key question: Are we looking at independent transactions — or a connected network?

Map it: One counterparty appearing repeatedly is the strongest lead you have.

Building an Investigation Timeline



A timeline reveals



Key message: A timeline turns transactions into a story.

Include: Relevant activity before and after the alert — not only the alerted period.



Evidence, Gaps & Conclusions

Evidence, Gaps & Conclusions

Evidence vs assumption

Identifying the gaps

Resolving the gaps

Writing the conclusion



Evidence vs Assumption

Fact

“Customer received \$25,000 from ABC LLC.”

Customer / KYC information

“Customer states occupation as software engineer.”

External finding

“Corporate registry identifies ABC LLC as an import / export company.”

Inference

“The transfers may be unrelated to the customer's stated employment.”

Unsupported assumption

× “Customer is laundering money.”

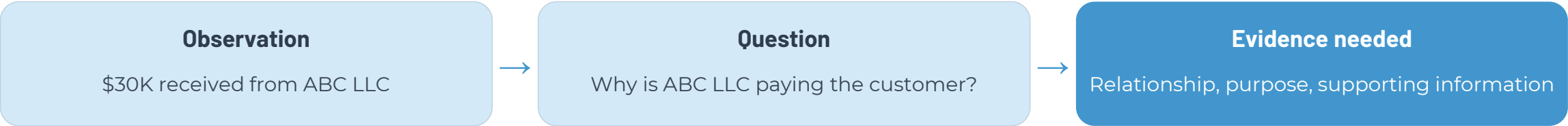
Key message: Facts first. Interpretation second. Conclusion last.

Never: Jump from red flag straight to accusation.

Identifying Investigation Gaps

After reviewing the evidence, ask: what do I still not understand?

Unknown source of funds	Unknown purpose of payment
Unclear counterparty relationship	KYC does not explain the activity
Unexplained change in behaviour	Missing supporting information
No established economic purpose	Conflicting information across sources



Key message: Every gap becomes a question, and every question needs evidence.

Do not: Close an alert on activity you could not explain.

Resolving Investigation Gaps

Answer it internally

- KYC / CDD
- Account history
- Previous cases
- Transaction records
- Internal customer information

Answer it externally

- Appropriate public / official sources
- Corporate information
- Relevant external research

Request more information

- Customer request, where permitted
- Another internal department
- Correspondent / counterparty, where applicable

Then ask: Did the new information explain the activity — or create additional concerns?

Record it: An unanswered question is itself a finding.

Building an Evidence-Based Conclusion

1

What happened?

Summarize the relevant activity

2

Why did it matter?

Explain the material observations

3

What did we find?

State the relevant evidence

4

What was explained?

Identify what resolved the concerns

5

What remains unexplained?

Clearly identify unresolved issues

6

What is the outcome?

Close or escalate per procedure

Activity + Customer context + Evidence + Explanation + Unresolved concerns = Conclusion

Key message: The conclusion follows the evidence — it does not lead it.

Test it: Could a reviewer reach the same outcome from your file alone?

Writing Clear Investigation Findings

Factual — Based on available evidence

Objective — No assumptions, no emotion

Relevant — Material to the investigation

Chronological — Where it helps

Concise — Nothing unnecessary

Traceable — A reviewer can follow it

✗ **Weak**

“Customer is clearly laundering money.”

✓ **Better**

“During the review period the customer received \$48,000 from four unrelated businesses, followed by \$43,000 in outgoing transfers. Available KYC information did not establish a relationship with these entities or explain the purpose of the activity.”

Golden rule: Write what the evidence demonstrates — not what you assume happened.

Remember: Your file is read by people who were not in the investigation.

Key Takeaways

01 Scope first, transactions second

02 Build the data pack before analysing

03 Test KYC against actual activity

04 Summarize, then deep-dive

05 Every gap becomes a question

06 Facts first. Interpretation second. Conclusion last.

Closing thought: Establish the facts, document the reasoning, and let the evidence decide.

